



What is the mid- to long-term target for Dabur India?

The plan is to aggressively grow our business across all three segments—healthcare, home & personal care and foods & beverages. This will ride on our entire strategy of focussing on our power brands, expanding the portfolio and enhancing our distribution footprint. Our intent is to grow the healthcare business to ₹5,000 crore a year, home & personal care to ₹7,000 crore, and double the yearly revenue of our foods & beverages business in the mid-term, of say, five years.



Why did Dabur acquire Badshah Masala? Are you planning more acquisitions?

We keep on looking for opportunities in our three segments. In India, there are no national brands in the masala category as tastes vary from state to state. As far as the acquisition of Badshah (Masala) goes, the idea is to use our distribution to take it pan-India. We will focus on making it a national brand over the next two years. We continue to scout for [M&A] opportunities in other areas. In the past we have had successful acquisitions like [household products like household products and

[skincare firm] Fem.



What is your plan for the international business?

Dabur's international business reported a 20.6 per cent growth in constant currency terms in Q1 of this [financial] year. We remain confident of leveraging the growth opportunities to drive sustainable and profitable growth across our businesses. Our intent is to grow our core business in MENA (Middle-east & North Africa) and SAARC regions. Even in the international markets, we intend to innovate, renovate and build brands while further strengthening our go-to-market, channels and category development.

If I were to get into the specifics, we are working towards becoming the No. 1 personal care company in Egypt. In Turkey and sub-Saharan Africa, our strategy is to expand our footprint. In the US, the UK and EU, we are moving from the current strong ethnic footprint to enter select mainstream categories, besides building new focus geographies in CIS, Ethiopia, Algeria and select South-East Asian markets. All these will help us grow in upwards of 20 per cent [per year] in overseas revenue. **BT**

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tion. The revenue share of the international business has fallen from 30.7 per cent in FY17 to 27.5 per cent in FY20 and 24.7 per cent in FY23. However, Mohit Burman, Chairman of Dabur India, is confident that the company will grow its international business by over 20 per cent a year. "We remain confident of leveraging the growth opportunities to drive sustainable and profitable growth across our businesses," he tells *Business Today*. The plan is to grow Dabur's core business in the Middle-east and North Africa (the MENA market) and South Asia "while further strengthening our go-to-market, channels and category development".

Meanwhile, two investments made by the Burman family office are facing challenges: dry-cell battery maker Eveready is struggling for growth, apart from a boardroom battle for control of Religare Enterprises, a company offering a suite of financial services.

But back to Dabur. Since Malhotra took charge, its top line has grown at a CAGR of 8 per cent from ₹8,533 crore in FY19 to ₹11,530 crore in FY23. The pandemic disrupted many businesses, with most consumer goods companies reporting sharp drops in sales, but it powered Dabur's growth. That was "a good time," Malhotra recalls. "You know, most other companies were down and under pressure, and there was gloom and doom for all businesses. But it was a good time for Dabur." As consumers desperately sought immunity-boosting options, Dabur's Chyawanprash sales shot up by 20 times, while sales of its honey multiplied by 10 times. "The business was doing so well. I realised then that this will come and pinch me later," he recalls.

His hunch came true. When the pandemic receded in the second half of 2022, Dabur's top-line growth slipped from 10 per cent in FY21 and 14 per cent in FY22 to 5.9 per cent in FY23. Inflation has nudged up input costs, packaging, and logistics since early 2022. In FY22, its net profit grew by 2.7 per cent and slipped by 0.5 per cent in FY23. After growing by 11.9 per cent and 11.7 per cent, respectively, in the previous two years, its Ebitda declined 4 per cent last year as it had to absorb a portion of increased costs.

Inflation could not have come at a worse time. "We felt as if Covid-19 was now behind us; everything would be nice and normal, and we would witness an upswing. There was a deflationary environment for five years, so everybody was making a profit. Suddenly, the inflation came," rues Malhotra. With production costs up in double digits, Dabur had to pass on a part of the extra costs to consumers. "Money in the hands of the consumer went down. We guys [the FMCG players] are the barometer of the industry. So we initially thought the consumer might not feel the pinch and consumer staples wouldn't